

guest column

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NO EMOTIONS PLEASE

Controlling greed and fear is the best technique to build up long-term wealth in the stock market



The volatility witnessed recently in the stock market is more due to the growing awareness to risk in global markets. Markets in other regions of the world have also seen a similar fall. Besides the global factors, there are technical factors such as the unwinding of positions by speculators and the triggering of margin calls, leading to a cascading effect, especially on stocks with lower liquidity. This kind of volatility would create a lot of confusion in everyone's mind, including that of long-term investors. Can this confusion be addressed logically, especially keeping in mind where the valuations stand as of today? The Trailing Price Earning ratio of the Sensex has fallen from a high of 28.5 to about 21.3 which is available at a 25 per cent discount from the recent past. However, the fundamentals of the market would not have changed that much. The market is trading at a P/E multiple of 16.5 with respect to FY2009 earnings, which shows the fair valuation of the market.

However, an investor should focus on certain steps:

■ **Define goals and draw a financial plan:** Everyone should draw a list of aspirations (retirement, child's education, wedding, buying assets, philanthropy, etc.), quantify them and adjust them with inflation figures and, based on that, arrive at the figure which would make them financially independent. One should also look at surplus wealth and future wealth creation. This would help them justify their aspirations.

■ **Decide on the strategic asset allocation:** Once the plan has been drawn, one should decide the strategic asset allocation (SAA). SAA is the division of the portfolio based on long-term expectations about return, risk and correlation between various asset classes. Based on this, one could decide how much to allocate to different asset classes such as fixed income, equity, real estate, etc. According to Ibbotson Associates, over 90 per cent of a portfolio's success results from arriving at the correct asset allocation.

■ **Rebalance the asset allocation once in six months or whenever there is a deviation of 5 per cent from the base**

allocation: Normally, there are emotions—of greed or fear—which are the primary reasons that could lead to a wrong decision. A few months back, there was an emotion of greed which pushed everyone to invest more in equities and investors took a futures-and-options (F&O) position and are in trouble today. With this fall today, there could be an emotion of fear, due to which one would like to discard equity as an asset class. This is where we go wrong. We buy more and more of an asset class that has gone up and is expensive today and vice versa. Rebalancing, on the other hand, is a contrarian approach and would mathematically enable one to sell an asset class when it has gone up, is expensive and in excess in the portfolio, and vice versa.

■ **Build the portfolio in a systematic manner through a mutual fund route:** This is one of the best ways to eliminate the risk of market timing and build up long-term wealth by a disciplined approach and a systematic investment plan.

■ **Stop looking at the portfolio on a daily basis:** It is, however, important to review the portfolio on a quarterly basis with the help of your financial advisor.

■ **Diversify the portfolio into different asset classes, geographies and currencies:** Different asset classes, geographies and currencies may have a different correlation/behaviour, which ultimately reduces the risk of the overall portfolio.

■ **Don't invest short-term money in volatile asset classes or don't take a bet through the F&O route:** Investors sometimes get greedy and gamble by investing small amounts and leveraging their

positions on the market, which could also wipe out the capital if the call goes wrong.

In the long run, asset allocation is the key. There are three things which impact any asset class—momentum, liquidity (short-term) and fundamentals (long-term). Clearly, long-term investors should not be worried about volatility. They have the comfort of time to make the most of it. This is a tough time, hence one should be guided by asset allocation rather than an emotion or fear.

The author is a founder-partner of Client Associates, Private Wealth Management. All views expressed are personal.

What should an investor do in a scenario like this?

Advice is investor-specific, assuming a 50% equity and 50% debt profile

1 A new investor: Should enter the market with 25 per cent of total savings and then gradually increase exposure to equity

2 An investor with 50 per cent equity six months back, who now has 40 per cent equity: Add 10 per cent equity to portfolio to rebalance

3 An investor overexposed to equities about a month back and whose portfolio now has 50 per cent equity: Should do nothing

4 An investor who is 60 per cent exposed to equities after the fall: Should reduce equity over six months and move towards debt